TEMPLATE P35 · AI THESIS AND RISK APPETITE

# AI thesis and risk appetite

Board decision document in C2: AI thesis, ambition per sphere, risk appetite, thresholds, horizons, portfolio bands, time limits, red lines, framework budget, indicator selection and threshold version register.

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> **Why it matters.** The whole framework decides using the parameters that the board approves here: which initiative fits the thesis at G0, when an initiative is Enterprise, what residual risk may be accepted, what return is required at each *gate* and how much is invested in each lane. If they are not approved and versioned, each body interprets them in its own way, thresholds are changed to improve a result and the portfolio executes no direction at all. It is tool T19 and the evidence for questions D1.05 and D1.06 in document 11.

01

## Instructions for use

| Aspect | Guidance |
|---|---|
| **When it is used** | In C2: in the first implementation, within the 90 days (90 §4.3 and §4.4); thereafter, annually after C5 and on an extraordinary basis when a trigger occurs (13 §13). |
| **Who completes it** | Senior management, with the AI Office, risk, compliance, management control and people. |
| **Who verifies it** | The AI Auditor or internal audit, against the criteria in section 15, before approval. |
| **Who decides or approves** | The board of directors, or the committee with delegated powers. |
| **Corporate cycle stage** | C2 · Direction. Input: C1 diagnosis report (P33). Output: parameters for C3 (P36) and for the tools. |
| **Tool** | T19 · AI thesis and risk appetite template. After approval, T01, T04, T06, T14, T16 and T17 are updated (13 §13) and the decision is recorded in T18. |
| **Reference document** | Document 13, which contains the method, the rules and the indicative values. This template extracts its annex (13 §15) and does not modify it. The indicator selection follows document 41 (§1, §5, §19 and §20). |
| **Lite versus Enterprise** | Fields marked **(Enterprise)** may be omitted in organisations that apply only Lite intensity, with justification. |

Completion rules:

- Where "indicative value" is indicated, the value in document 13 is used as a starting point and replaced by the approved value.
- The likelihood, impact and risk level scales and the responses are those in document 33: this decision sets where the company stands, it does not modify them.
- The appetite grade of a category may **tighten** the general rule for accepting residual risk, **never relax it** (13 §5.2).
- The approved time limits may not exceed those laid down by applicable regulation.
- Each version is identified by number and date; the previous one is retained (13 §13).

02

# Identification

| Field | Content | Guidance |
|---|---|---|
| **Company or group** | | Corporate perimeter to which the decision applies. |
| **Approving body** | | Board of directors or committee with delegated powers. |
| **Session date** | | DD-MM-YYYY. |
| **Document version** | | 1.0 on first approval; incremented at each review. |
| **Identifier in the decisions register (T18)** | | DEC-AAAA-NNN (document 62). |
| **Prepared by** | | Name and position. |
| **Verified by** | | AI Auditor or internal audit; different from the preparer. |
| **Reference C1 report** | | Code, date and version of P33. |

03

# Proposed resolutions

| No. | Resolution | Guidance |
|---|---|---|
| **1** | The AI thesis in section 4 is approved. | One resolution per component, in the form "... is approved". |
| **2** | The ambition per sphere in section 5 is approved. | |

| No. | Resolution | Guidance |
|---|---|---|
| 3 | The risk appetite by category and its tolerance metrics in section 6 are approved. | |
| 4 | The thresholds in sections 7 and 8 are approved. | |
| 5 | The time limits in section 9 are approved. | |
| 6 | The red lines in section 10 are approved. | |
| 7 | The framework budget in section 11 is approved. | |
| 8 | The monitoring targets and the validity in section 12 are approved. | |
| 9 | The indicator selection in section 13 is approved. | |
| 10 | The threshold version in section 14 is approved. | |

04

# AI thesis

Structure and quality criteria in 13 §3. Two to four pages; it must be usable to say no to an initiative.

| Field | Content | Guidance |
|---|---|---|
| **Context** | | How AI changes the rules of the sector. Why now? |
| **Role of AI in the strategy** | | Relative weight of efficiency, growth and operating model. |
| **Where we play** | | Refers to section 5. |
| **What we will not do** | | At least three specific renunciations. |
| **Position on people** | | Replace, augment or reorganise, by area, with commitments. |
| **Enabling conditions** | | Data, knowledge, capabilities, platform, suppliers. |
| **Principles** | | Refers to the corporate policy (document 31). |
| **How we will know it is working** | | Target profile, target maturity, validated value and net value, with horizon. |

05

# Ambition per sphere

Rules in 13 §4.2. At most three high-priority spheres; every sphere with Transform has an envelope and a candidate.

| Sphere | Priority (High · Medium · Low · Non-priority) | Level achieved (C1) | Target ambition | Horizon (months) | Main indicator (current → target) | Owner |
|---|---|---|---|---|---|---|
| **01 · Customer** | | | | | | |
| **02 · Product and service** | | | | | | |
| **03 · People** | | | | | | |
| **04 · Operations** | | | | | | |
| **05 · Data** | | | | | | |
| **06 · Knowledge** | | | | | | |
| **07 · Decision** | | | | | | |
| ***(illustrative example)* 04 · Operations** | High | Optimise | Optimise | 12 | IE04.06 Validated materialised savings: €1.80M → €2.50M | Operations director |

For spheres 08 and 09 a grade is set, never an ambition level.

| Sphere | Dimension | Current grade | Target grade (Absent · Basic · Systematic · Advanced) | Horizon | Indicator | Owner |
|---|---|---|---|---|---|---|
| **08** | Compliance | | | | | |
| **08** | Anticipation | | | | | |
| **08** | Ethical leadership | | | | | |
| **09** | Structure | | | | | |
| **09** | Speed and control | | | | | |

| Sphere | Dimension | Current grade | Target grade (Absent · Basic · Systematic · Advanced) | Horizon | Indicator | Owner |
|---|---|---|---|---|---|---|
| **09** | Supplier ecosystem | | | | | |

06

# Risk appetite

## 6.1 Grade and statement by category

Grades in 13 §5.2: **Averse · Cautious · Moderate · Open**. Recommended starting grades in 13 §5.3. The exceptional acceptance of a Critical risk permitted by the Open grade is not permitted in LEG or SEG (13 §5.2).

| Code | Category | Grade | Statement | Owner |
|---|---|---|---|---|
| **EST** | Strategic | | | |
| **TEC** | Technical | | | |
| **DAT** | Data | | | |
| **ECO** | Economic | | | |
| **LEG** | Legal and compliance | | | |
| **ORG** | Organisational | | | |
| **REP** | Reputational | | | |
| **GEN** | Generative AI and agents | | | |
| **SEG** | Security and offensive AI | | | |
| **TER** | Third parties | | | |

## 6.2 Tolerance metrics

At least one metric per category, with formula, tolerance (amber) and limit (red). Starting catalogue in 13 §5.3; escalation in 13 §5.5. "—" in amber indicates zero tolerance.

| Category | Metric | Formula | Tolerance (amber) | Limit (red) | Source | Frequency |
|---|---|---|---|---|---|---|
| | | | | | | |
| ***(illustrative example)*** **TER** | Supplier concentration | Spend on main model supplier ÷ total spend on models × 100 | > 60 % | > 80 % | T09, T13 | Quarterly |

07

# Economic thresholds

## 7.1 Economic impact thresholds

Proportionate to size, on a stable reference measure (13 §5.4). Used by the risk matrix (P12, T06).

| Field | Content | Guidance |
|---|---|---|
| **Reference measure and value** | | EBITDA, revenue, equity or budget; reference financial year. |
| **Impact 1 · Negligible** | | Proportion and euros. |
| **Impact 2 · Minor** | | |
| **Impact 3 · Moderate** | | |
| **Impact 4 · Major** | | |
| **Impact 5 · Critical** | | |

## 7.2 Investment and materiality thresholds

| Field | Content | Guidance |
|---|---|---|
| **Enterprise investment threshold** | | Total three-year cost; indicative value 0.5 % of EBITDA (13 §6). Splitting an initiative to stay below it is a major nonconformity. |
| **Materiality for individual reporting to the board** | | Indicative value 2 % of EBITDA. |
| **Board approval threshold by amount (Enterprise)** | | Optional, according to delegation rules. |

| Field | Content | Guidance |
|---|---|---|
| **Minimum scale in production (B3)** | | Indicative value 5. |

08

# Return horizon and portfolio balance

## 8.1 Return horizon

Indicative values and definitions in 13 §7 and document 40. At G3 the only economic feasibility criterion is NPV ≥ 0 with the horizon and rate set here.

| Level | Criterion at G3 | Time limit at G7 | Guidance |
|---|---|---|---|
| **Optimise** | | | Indicative values in 13 §7. |
| **Augment** | | | |
| **Transform** | | | First-stage cap and milestone frequency. |
| **Horizon and rate for NPV** | | — | Document 40. |

## 8.2 Target portfolio balance

| Field | Content | Guidance |
|---|---|---|
| **Stance** | | Prudent, Balanced, Ambitious or own (13 §8). |
| **Optimise band** | | Minimum and maximum percentage. |
| **Augment band** | | |
| **Transform band** | | Cannot start at 0 % if Transform is in the thesis (except in the first year). |

09

# Time limits

## 9.1 Reference time limits

| Time limit | Lite | Enterprise | Guidance |
|---|---|---|---|
| **Phase 0** | | | Indicative values in 03 §3.6. |
| **Phase 1** | | | |
| **Phase 2** | | | |
| **Phase 3** | | | |
| **Phase 4** | | | |
| **Phase 5** | | | |
| **Phase 7** | | | |
| ***Gate* decision** | | | Working days. |
| **R6 frequency** | | | No longer than every six months (Lite) or quarterly (Enterprise). |
| **Regularisation of earlier initiatives** | | | Months. |
| **Pending regulatory classification** | | | Days. |
| **Maximum time limit for a *gate* condition** | | | Until the next *gate*; at R6, indicative value 90 days (13 §9). |

## 9.2 Nonconformity and incident time limits

| Field | Containment | Action plan or communication | Reports to | Guidance |
|---|---|---|---|---|
| **Critical nonconformity** | | | | Reference: 48 hours and 10 days. |
| **Major nonconformity** | | | | Reference: 10 and 30 days. |

| Field | Containment | Action plan or communication | Reports to | Guidance |
|---|---|---|---|---|
| **Minor nonconformity** | | | | Before the next *gate*. |
| **S1 incident** | — | | | Without prejudice to regulatory time limits, which always prevail (13 §10.2). |
| **S2 incident** | — | | | |
| **S3 incident (Enterprise)** | — | | | |

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# Red lines

| Field | Content | Guidance |
|---|---|---|
| **Confirmation of the SEVEN-G minimum** | Yes · No | Prohibited practices and table in 13 §11.2. The company may extend it, not reduce it. |
| **Extensions to the table of non-delegable decisions** | | Decision, maximum autonomy (A0–A3) and reason. |
| **The company's own red lines** | | Examples in 13 §11.3. Only the board may modify them. |

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# Framework budget

| Envelope | Amount | % of total | Guidance |
|---|---|---|---|
| **Optimise** | | | Within the band in section 8.2. |
| **Augment** | | | |
| **Staged Transform** | | | Approved stages and stages pending release. |
| **Enablement** | | | Includes spheres 08 and 09. |
| **Committed recurring cost** | | | Budgeted in full. |

| Envelope | Amount | % of total | Guidance |
|---|---|---|---|
| **Adoption and training** | | | Explicit, not residual. |
| **Contingency** | | | |
| **Total** | | 100 % | |
| **Reallocation rules** | | | Committee and board limits (13 §12). |

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# Monitoring targets, review and validity

| Indicator | Current value (C1) | Target | Horizon | Guidance |
|---|---|---|---|---|
| **Transformation index profile** | | | | Document 12. |
| **Overall maturity level and priority dimensions** | | | | Document 11; references in 11 §8. |
| **Proportion of validated value** | | | | Condition B2. |
| **Annual net value of the portfolio** | | | | Document 40. |

| Field | Content | Guidance |
|---|---|---|
| **Validity** | | Until the next version is approved. |
| **Planned annual review date** | | After C5 (P37). |
| **Additional triggers for extraordinary review** | | In addition to those in 13 §13. |

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# Approved indicator selection

No company needs every indicator in the catalogue: they are selected in C2 according to the thesis, the portfolio and the intensity, and the selection is recorded (41 §1). Starting point: the recommended

minimum set for Lite (41 §19) and the selection for the board dashboard (41 §20). Thresholds marked "to be set" in the catalogue are approved here.

## 13.1 Catalogue indicators

| Code (IND-FAM-NN) | Name | Target | Threshold or traffic-light reading | Frequency | Owner | Source | On the board dashboard (Yes · No) |
|---|---|---|---|---|---|---|---|
| | | | | | | | |
| ***(illustrative example)*** **IND-VAL-05** | Validated proportion | 60 % within 24 months | Amber < 50 % · Red < 30 % (ECO metric in section 6.2) | Quarterly | Management control | T12 | Yes |
| ***(illustrative example)*** **IND-RIE-02** | Systems in production without a *gate* | 0 | 0 (critical nonconformity) | Monthly | AI Auditor | T02 · T03 | Yes |

| Check of the selection | Yes · No |
|---|---|
| It includes the minimum set in 41 §19, or justifies each exclusion. | |
| It includes, for the board dashboard, the blocks in 41 §20 that apply. | |
| Each speed or automation indicator has its contrasting quality or risk indicator (41 §2, rule 7). | |
| Value indicators show their validated proportion (41 §2, rule 4). | |

## 13.2 The company's own indicators

Each own indicator is documented with the record in 41 §5 and approved by the AI Office with the clearance of management control (41 §2, rule 8). Its selection is recorded here.

| Code | Name and definition | Formula | Unit | Target | Threshold | Frequency | Owner | Source | Contrasting indicator | Record 41 §5 compl (Yes · N |
|---|---|---|---|---|---|---|---|---|---|---|
| | | | | | | | | | | |

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# Threshold version register

Thresholds **are not changed within the annual cycle**; they are recalibrated in C5 with the company's own data and approved by the board (12 §8; 13 §13). Each calculation of the index, the heat map or the traffic light records the threshold version it used. Version 0.1 is that of the framework's indicative values.

### Versioned parameters

| Parameter | Source document | Current version | Deviation from the framework value (Yes · No) |
|---|---|---|---|
| **Thresholds for the signals and conditions of the transformation index** | 12 §4.3 and §4.5 | | |
| **Heat map colour thresholds and markers** | 10 §8.1 | | |
| **Programme traffic light** | 14 §12.1 | | |
| **Maturity dimension weights** | 11 §2.3 | | |
| **Economic impact, investment and materiality thresholds** | Sections 7.1 and 7.2 | | |
| **Reference time limits** | Section 9.1; 03 §3.6 | | |
| **Tolerance metrics** | Section 6.2 | | |

### Change history

| Version | Parameter | Previous value | New value | Justification with own data | Previous period recalculated (Yes · No) | Internal audit check: not proposed to improve the year's result | Approved by and date |
|---|---|---|---|---|---|---|---|
| ***(illustrative example)* 0.2** | Signal 6 · AI-enabled revenue, level 2 threshold | 0.5 % | 0.3 % | Low-margin sector; distribution of four quarterly calculations | Yes | Conformant | Board, 15-12-2027 |

A company that declares that it applies SEVEN-G states its deviations from the framework's thresholds (12 §8).

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# Quality criteria

Criteria in 13 §14, which the AI Auditor or internal audit checks before approval.

| # | Check | Status |
|---|---|---|
| **1** | Diagnostic basis: each component cites the C1 results on which it is based, with explicit "no data". | Met · Not met · Not applicable · Pending |
| **2** | Completeness: the twelve components in 13 §2 are present, or their absence is justified. | |
| **3** | Renunciations: the thesis includes what will not be done and there are non-priority or low-priority spheres. | |
| **4** | Ambition–budget consistency: every sphere with Transform has an envelope and a candidate; the bands are compatible with the thesis. | |
| **5** | No mixing of levels: spheres 08 and 09 have grades, not ambition levels. | |
| **6** | Measurable appetite: each category has a grade, a statement and at least one metric with formula, tolerance and limit. | |
| **7** | Proportionality: the economic thresholds are expressed on a reference measure and in euros. | |
| **8** | Regulatory limits: the time limits do not exceed the regulatory ones; the red lines include the minimum in 13 §11. | |
| **9** | Owners: each sphere and each category has an owner from senior management. | |
| **Sphere map and ambition levels** `(10)` | Review: there is an annual review date, triggers for extraordinary review and a recorded threshold version. | |
| **Maturity model** `(11)` | Indicators: the selection includes the minimum set in 41 §19 or justifies the exclusions, each indicator has a target, threshold, frequency, owner and source, and the company's own indicators have the record in 41 §5. | |

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# Approval and verification

| Function | Role in SEVEN-G | Name and position | Date | Signature or reference |
|---|---|---|---|---|
| **Prepares** | Senior management, with the AI Office | | | |
| **Gives clearance on the risk appetite** | Second line | | | |
| **Verifies** | AI Auditor or internal audit | | | Result: Conformant · Conformant with observations · Nonconformant |
| **Approves** | Board or committee with delegated powers | | | Reference to the minutes · DEC-AAAA-NNN |
| **Records and communicates** | AI Office | | | T18; parameters updated in the tools |

Segregation of duties: whoever prepares the document does not verify it; approval of the thesis, risk appetite, framework budget and red lines is not delegated to any AI system (13 §11.2).

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# Version control

### Completed document

| Version | Date | Author | Changes |
|---|---|---|---|

### Template

| Version | Date | Changes |
|---|---|---|
| **0.1** | 19-09-2026 | First version. Extracts the annex in 13 §15 (tool T19) as a fillable template, incorporates the quality criteria in 13 §14 and adds the approved indicator selection (41 §1, §5, §19 and §20) and the threshold version register in 12 §8 and 13 §13. |